A Strategic Investment Fund for America

A Proposal for a United States Sovereign Wealth Fund

Laurence Wilse-Samson

December 2025

Abstract

Washington has decided it wants a sovereign wealth fund. It has not yet decided how to pay for one, who should run it, or what it is for—which is the part that matters. This paper sets out an architecture for a United States Strategic Investment Fund that takes the three awkward questions in order: how to fund a fund in a country that runs chronic deficits, how to keep politicians' hands off it, and what it should actually buy. The recommendation is a dual-account structure, phased funding that starts modestly and earns the right to grow, and a governance design borrowed shamelessly from the people who do this well—Norway, Singapore, Australia, New Zealand. A closing section addresses the 2026 enthusiasm for funding such a vehicle with stakes in artificial-intelligence companies, and explains how to do that without turning the fund into an instrument for nationalising the industry.

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How to Read This Paper

Section I is the executive summary and will do for most readers. Those who care about the part everyone gets wrong should read Section V (governance) and Section X (the objections, answered). Legislative staff will want Section VIII and Appendix D. The AI question, which is why most people are reading this in 2026, is Section XII.

I. Executive Summary

The United States is, belatedly, interested in owning things. In February 2025 the President ordered a plan for a sovereign wealth fund; the Biden administration had been sketching one quietly before that. The bipartisan interest is real, and it reflects a genuine gap: China has put something like a trillion dollars to work through the Belt and Road Initiative, the Gulf states and Singapore deploy sovereign capital as a matter of routine, and the United States turns up to the same contests with a development bank capped at $60 billion and a great deal of private capital that, by design, cannot price national interest.

A fund could fill that gap. It could also become a slush fund, a patronage machine, or an expensive way to lose money — the international record offers examples of each. The difference is entirely in the design, which is the subject of this paper. The recommendations:

Two accounts, not one. A Strategic Investment Account (roughly 60 percent) for international investments that serve economic and national security — critical minerals, supply-chain resilience, technology, allied infrastructure — and a Domestic Development Account (roughly 40 percent) that co-invests alongside private capital in American infrastructure and industry. Keeping them separate keeps the domestic political pull from swallowing the strategic mandate.

Funding that starts small. The country has no surplus to draw on, so honesty requires starting with a $50 billion appropriation and $10–15 billion a year, then adding dedicated revenues (mineral royalties, spectrum auctions) once the fund has shown it can be trusted with the money. Target: $300–500 billion by year ten, perhaps $1 trillion by year thirty.

Governance built to be dull. A nine-member board with a majority of four independent directors on seven-year staggered terms, professional qualifications required, the chief executive chosen by the independents rather than by whoever won the last election. This is the heart of the proposal and the only part that cannot be compromised.

Created by Congress, not by executive order. A fund an administration can create is a fund the next administration can raid. The enabling statute should give the assets statutory protection, a clear mandate, real oversight, and a ten-year sunset that forces a deliberate decision to continue.

Full Santiago Principles compliance. The twenty-four internationally recognised standards for SWF governance, with membership of the IFSWF and annual reporting. A US fund will be watched closely; it should give its critics nothing.

An optional, ring-fenced AI sleeve. Responding to the 2026 proposals from Senator Sanders and Assemblyman Bores, the fund can hold a non-controlling, warrant-weighted stake in frontier AI firms, with proceeds funding a citizens' dividend that pays out if and when AI displaces workers. This captures the upside of the AI boom without the fund taking a seat at the table and starting to give orders. Section XII explains the distinction, which is the whole game.

The objections — politicisation, deficit funding, market distortion, mission creep, geopolitical retaliation, corruption — are real and are addressed directly in Section X. None is fatal to a well-designed fund. All are fatal to a badly designed one.

The question was never whether the United States *can* build a sovereign wealth fund. It plainly can. The question is whether it can build one with the self-discipline the institution requires, and resist the temptation to use it for everything else.

II. Introduction: Why Now?

Two Arguments Arriving at Once

The case for a US fund now rests on two arguments that began far apart and have lately converged.

The first is geopolitical. On 3 February 2025 the President directed the Treasury and Commerce Secretaries to produce, within ninety days, a plan for the country's first sovereign wealth fund, one that would “maximize the stewardship of our national wealth.”[1] The idea did not originate with that administration; through 2024 the Biden White House had been developing a similar concept under Daleep Singh, who observed that the United States was “in this really intense geopolitical competition that’s playing out through economics.”[2] The premise of both efforts was the same: economic statecraft has become a contest the United States is under-equipped to fight.

The second argument is about distribution, and it arrived in 2026. If artificial intelligence produces extraordinary wealth while displacing large numbers of workers, who owns the result? In June 2026 Senator Bernie Sanders proposed an “American AI Sovereign Wealth Fund Act” giving the public a stake — up to half — in the largest AI companies, on the ground that AI is “built on the collective knowledge of humanity” and the wealth it generates should follow.[3] Assemblyman Alex Bores offered a quieter version, an “AI Dividend” funded by a levy on AI usage, equity warrants, and tax reform.[4] The AI labs themselves have floated similar ideas, which is either encouraging or a warning, depending on temperament. The distributive argument is distinct from the geopolitical one, but it points at the same instrument, and it is treated in full in Section XII.

Why the Existing Tools Don’t Suffice

The United States is not starting from nothing; it is starting from a patchwork. The Development Finance Corporation is capped at $60 billion and statutorily aimed at development outcomes in poorer countries, not at competing for strategic assets in allied ones. The Export-Import Bank finances exports and does not take equity. The CHIPS Act writes cheques to one industry. And private capital, however deep — and American capital markets are the deepest on earth — cannot by its nature accept a lower return because an investment happens to secure a supply chain the country cannot do without. Each tool does its job. None of them does this one.

The Question That Actually Matters

That some form of sovereign investment vehicle would be useful is, by now, a fairly bipartisan proposition. The disagreements that matter are about design: how to fund it without a surplus, how to insulate it from the political weather, what it should buy, and how anyone would know whether it had succeeded. The sceptics have a point worth keeping in view — the Center for Global Development advised the country, memorably, “Don’t Go Chasing Sovereign Wealth Funds,”[5] and Carnegie warned of “high stakes and serious risks,” chiefly the risk that investment decisions would answer to politics rather than to returns.[6] This paper takes those warnings as the design

[1] The White House, “Fact Sheet: President Donald J. Trump Orders Plan for a United States Sovereign Wealth Fund,” February 2025.

[2] NPR, “What is a sovereign wealth fund and why does President Trump want one?”, 10 February 2025.

[3] Bernie Sanders, “The Public Should Own Half of the Big A.I. Companies,” *The New York Times* (Guest Essay), 1 June 2026.

[4] Alex Bores, “The AI Dividend: Preparing America for the AI Economy,” policy summary, 2026.

[5] Center for Global Development, “Don’t Go Chasing Sovereign Wealth Funds: Stick with Development Finance Corporations,” 2025.

[6] Carnegie Endowment for International Peace, “Trump’s Sovereign Wealth Fund Brings High Stakes and Serious Risks,” April 2025.

brief rather than as an objection to be waved away.

III. What a Sovereign Wealth Fund Is, and Who Has One

A sovereign wealth fund is a state-owned investment fund with a mandate broader than managing reserves and a horizon longer than the next budget. The IMF's definition turns on four features: state ownership, an investment mandate beyond reserve management, a macroeconomic purpose, and a long horizon.[7] That distinguishes a fund from central-bank reserves, from state-owned companies, and from pension funds with named beneficiaries.

The IMF sorts funds into five rough types, and the type follows from where the money came from. *Stabilisation funds* (Chile, Russia's NWF) smooth commodity cycles and stay liquid. *Savings funds* (Norway) turn a finite resource into a permanent endowment and can afford to take risk. *Pension reserve funds* (Australia's Future Fund, New Zealand's Super Fund) pre-fund known liabilities. *Reserve investment corporations* (China's CIC, Korea's KIC) chase a better return on excess reserves. *Development and strategic funds* (Temasek, Saudi Arabia's PIF) pursue national objectives and will sometimes accept a lower financial return to get them. A US fund, as proposed here, is a deliberate hybrid of the last two — which is precisely why its mandate has to be written down with some care, lest "strategic" come to mean "whatever we fancy."

The sector has grown from perhaps $500 billion in 1990 to over $12 trillion in 2025. The largest funds:

Table 1: Largest Sovereign Wealth Funds by Assets, 2025

Fund	Country	AUM ($B)	Type
Government Pension Fund Global	Norway	~1,700	Savings
China Investment Corporation	China	~1,350	Reserve investment
Abu Dhabi Investment Authority	UAE	~990	Savings
Public Investment Fund	Saudi Arabia	~930	Strategic
Kuwait Investment Authority	Kuwait	~920	Savings
GIC	Singapore	~770	Reserve investment
Hong Kong Monetary Authority	Hong Kong	~510	Reserve investment
Qatar Investment Authority	Qatar	~475	Savings
Temasek Holdings	Singapore	~380	Strategic

Sources: Sovereign Wealth Fund Institute; Global SWF; fund reports.

[7] IMF, *Setting up a Sovereign Wealth Fund: Some Policy and Operational Considerations*, WP/09/179, August 2009.

Roughly 60 percent of the world's SWF assets came out of the ground as oil and gas; another 35 percent came from trade surpluses. Both origins describe money a country had and chose to save. Neither describes the United States, a point Section IV is obliged to dwell on.

The country does, however, have domestic experience worth mining. Alaska has run a permanent fund since 1976, capitalised from oil royalties, now around $80 billion, and famous for paying a yearly dividend to residents — which created exactly the constituency needed to keep politicians from spending the principal. Texas has funded its schools from a permanent fund since 1854; New Mexico runs around $40 billion the same way. The lessons are consistent: protect the principal in law, manage it professionally, and give the public a stake it will defend. The cautionary note is equally consistent — Alaska has spent years fighting over whether to raid savings to fatten the dividend, which is mission creep with a friendly face.

The academic literature, for its part, says three useful things. Governance quality varies even among similar countries, so design choices genuinely matter and are not simply a function of being a rich democracy.[8] Funds run with heavy government involvement tend to buy at higher prices and earn lower returns, which is politicisation showing up in the numbers.[9] And SWF investment does not, as a rule, destabilise the markets it enters; patient capital can even steady them.[10]

IV. The Awkward Question: How to Pay for It

Sovereign wealth funds are usually built out of surpluses. Norway saves oil revenue it does not need to spend; Singapore saves trade surpluses. The United States has run a federal deficit in fifty of the last fifty-five years, carries some $36 trillion in debt, and added roughly $1.15 trillion to the pile in 2025 alone. As one veteran of the field put it, "It is not very clear how they are going to finance this."[11] Quite. A serious proposal has to say where the money comes from, and resist the temptation to pretend the balance sheet is something it is not.

It will not come from tariffs, whatever the executive order implied. Tariff revenue is volatile, raises consumer prices, invites retaliation, and — if it slows growth — quietly reduces the other taxes it was meant to supplement. It could be one ingredient. It cannot be the recipe.

What remains is a phased approach: start with appropriations, add dedicated revenues once the fund has earned some credibility, and consider asset transfers only later and selectively.

Phase 1 — appropriation (years 1–5). A $50 billion initial appropriation — about the size of the Korea Investment Corporation at birth, roughly 1 percent of annual federal spending, and well

[8] Joshua Aizenman and Reuven Glick, "Sovereign Wealth Funds: Stylized Facts about their Determinants and Governance," NBER Working Paper 14562, 2008.

[9] Shai Bernstein, Josh Lerner, and Antoinette Schoar, "The Investment Strategies of Sovereign Wealth Funds," *Journal of Economic Perspectives*, 2013.

[10] Jason Kotter and Ugur Lel, "Friends or Foes? Target Selection Decisions of Sovereign Wealth Funds and Their Consequences," *Journal of Financial Economics*, 2011.

[11] Adnan Mazarei, quoted in *Foreign Policy*, "What Trump's Sovereign Wealth Fund Proposal Means for the U.S. and the World," 6 February 2025.

within the range of things Congress decides on a Tuesday — plus $10–15 billion a year thereafter. Australia capitalised its Future Fund with around A$60 billion; the Treasury makes capital contributions to multilateral banks as a matter of course; TARP and the COVID packages were larger by an order of magnitude. The number is affordable. Whether it is wise depends on everything in Section V.

Phase 2 — dedicated revenues (years 3+). The federal government collects $10–15 billion a year in mineral royalties and lease revenue; dedicating a quarter to a half of that to the fund would tie it to the country's resource base much as Alaska's fund is tied to oil, yielding perhaps $3–7 billion a year. Spectrum auctions, which have raised over $200 billion historically and occasionally more than $40 billion at a go, could be directed to the fund rather than to general revenue — episodic, but meaningful when it lands. Proceeds from selling genuinely surplus federal real estate could add a few billion more.

A fourth, more speculative stream is specific to the moment: a modest levy on AI usage and the acquisition of non-controlling equity in frontier AI firms, structured as out-of-the-money warrants so the public captures the upside without diluting founders or meddling in management. Since AI revenues rise as the wage tax base may be eroding, taxing the thing that is growing is merely good housekeeping. The mechanism, and its considerable caveats, are the subject of Section XII.

Phase 3 — asset transfers (years 5+). The $5.7 trillion in "federal financial assets" cited alongside the executive order is real but largely illiquid — student loans, mortgage guarantees, pension obligations — and not the war chest the headline implies. Realistically perhaps $100–200 billion could be mobilised over many years through careful structuring: a partial transfer of the Strategic Petroleum Reserve, underused federal property, infrastructure concessions. This is a source to approach slowly and without illusions.

Table 2: Indicative Funding Pathway

Period	Primary sources	Annual addition	AUM target
Years 1–2	Appropriation	$50B + $10B/yr	~$70B
Years 3–5	+ dedicated revenues	$15–20B/yr	$130–150B
Years 6–10	+ asset transfers	$20–30B/yr	$300–500B
Years 11–30	Mainly investment returns	Varies	$500B–$1T

Assumes ~6 percent average returns; reality will not be so tidy.

One point of honesty is unavoidable. Funding a fund from borrowed money means borrowing at the Treasury's rate to invest at the fund's expected return. With ten-year yields around 4.5–5 percent and a diversified portfolio plausibly returning 6–8 percent, the spread is positive but thin, and it can vanish. The case for proceeding therefore rests partly on returns and partly on strategic value that does not show up in a return calculation — a securer supply chain, an alliance deepened, an option held. Those benefits are real. They are also exactly the sort of thing a fund tells itself when it is about to overpay, which is why Section V matters more than this one.

V. Governance: The Only Part That Cannot Be Compromised

If funding is the obvious problem, governance is the important one. The graveyard of sovereign funds is full of vehicles that were captured, looted, or quietly bent to the purposes of whoever was in charge that year. In the American context the danger is rarely outright theft; it is politicisation — investments made to reward friends, punish enemies, or produce a number before an election. The early suggestion that a US fund might be used to buy TikTok told you most of what you need to know about the temptations ahead.[12]

Politicisation takes predictable forms: pressure to invest in favoured companies or regions and divest from disfavoured ones; appointments that reward loyalty over competence; demands for returns that markets cannot supply, or tolerance for losses that politics can; pressure to distribute the principal; and the use of the portfolio as an arm of foreign policy. Each needs a structural answer rather than a good intention.

The Architecture

A statute, not an order. The fund should be created as an independent, federally chartered corporation — the lineage runs through the Federal Reserve, the FDIC, and the Federal Home Loan Banks — with its assets protected in law against being appropriated for other purposes, its mandate defined with enough precision to satisfy the non-delegation doctrine and enough room for professionals to do their jobs, and core provisions changeable only by supermajority.

A board designed to be boring. Nine members, seven-year staggered terms:

- *Four independent directors*, nominated by the President and confirmed by the Senate, each with at least fifteen years in institutional investment, no partisan office in the previous decade, no lobbying in the previous five years, removable only for cause. These four hold the voting majority on investment decisions. This is the load-bearing wall.
- *Two congressional appointees*, named jointly by the leaders of each chamber — joint appointment so that neither party can capture the seats.
- *Three ex-officio members* (Treasury, Commerce, the National Economic Council), who connect the fund to policy but do not vote on individual investments. They may vote on broad strategy; they may not pick stocks.

The chair is chosen by the independent directors from among themselves. A supermajority of six is required to change investment policy, to hire or fire the chief executive, or to approve any

[12] Several outlets reported White House interest in using a prospective fund to acquire TikTok — an early and instructive example of the impulse the governance design exists to resist.

investment above 1 percent of assets. Conflicts of interest trigger mandatory recusal and disclosure, not a quiet word.

Professional management, paid accordingly. The chief executive is selected by the independent directors, serves a five-year term, and is paid on the scale of a large pension fund's chief investment officer rather than the federal pay scale — because a fund that cannot hire good investors will be one in name only. Staff sit outside the civil-service system for the same reason. A separate investment committee, chaired by the CIO, makes decisions within the board's guidelines and keeps minutes, because the discipline of having to write down why you did something is underrated.

Santiago compliance from day one. The fund should meet all twenty-four Santiago Principles — clear legal framework, separation of functions, returns-driven investment, no trading on government information, audited annual reporting — join the IFSWF, and submit to peer review. For a fund that will be accused of ulterior motives whatever it does, visible adherence to the international standard is not box-ticking; it is the cheapest insurance available.

Keeping It Accountable Without Making It Political

Insulation is not the same as secrecy; this is public money and it owes the public an account of itself. So: a full annual report and semi-annual testimony; notification of large investments within thirty days; an annual independent audit, GAO authority, and an inspector general with real access; quarterly disclosure of overall allocation and annual disclosure by sector and geography, with the specifics of individual deals delayed six to twelve months so the fund is not front-run. The statute should also say plainly what the fund may not do: invest on the basis of anyone's politics; divest over a controversy without a formal board finding of material risk; involve campaign or party staff in investment decisions; or let its holdings become leverage in an enforcement action. And it should protect the employees who report any of the above.

The candid admission is that no design eliminates political risk in a democracy, nor should it entirely — some accountability to elected officials is appropriate. The aim is narrower and achievable: to make interference difficult, visible, and costly enough that it mostly does not happen.

VI. What It Should Buy: The Two Accounts

A single undifferentiated portfolio would invite trouble: the domestic political pull is always stronger than the strategic case, and one pot of money means the former eventually eats the latter. Two accounts with separate mandates and separate scorecards keep the argument honest. The model is partly Singapore's — GIC for the global financial portfolio, Temasek for strategic holdings — and partly the dual-account structure the Council on Foreign Relations proposed for a US fund.[13]

[13] Council on Foreign Relations, "Sovereign Funds and American Investment Strategy: How to Responsibly Create a U.S. Strategic Investment Fund," 2025.

Account 1 — Strategic Investment (≈60%)

The mandate is to advance economic and national security abroad, principally by competing with adversary capital and securing supply chains. In practice that means critical minerals and the processing capacity that currently sits mostly in China; semiconductors and advanced computing; energy-security infrastructure from LNG to nuclear fuel cycles; and ports, rail, and telecoms in places where the alternative financier is Beijing. The account invests mostly internationally (70 percent or more), takes minority stakes only, caps any single investment at 1 percent of the fund, and holds for the long term.

The mandate explicitly permits accepting a below-market financial return where the strategic value is real and documented — a securer mineral supply, a deepened alliance, an asset denied to a competitor. It does not permit accepting a *negative* expected return except in genuine extremity and with a board supermajority. The discipline lives in the word "documented": Account 1 is benchmarked against a custom index and reports financial returns and strategic value separately, so that "strategic" cannot become a polite synonym for "lost money."

Account 2 — Domestic Development (≈40%)

The mandate is to crowd private capital *in*, not out — to finance American infrastructure and critical industry where private money is insufficient despite a positive social return. Transport, grid modernisation, domestic manufacturing that complements the CHIPS Act rather than duplicating it. The defining rule is co-investment: most deals require private capital to put up at least half, which both tests the proposition and limits the crowding-out the critics rightly worry about. Returns here are modest by design — a few points above inflation — with the understanding that the social return is part of the point, tracked through jobs supported, private capital mobilised, and capacity built. Davis-Bacon wage standards apply, as they would to any federally financed construction.

Allocation, Risk, and the Forbidden List

The board sets and annually reviews strategic asset allocation for each account — for Account 1, a spread across international public equity, private and direct investments, infrastructure, and fixed income; for Account 2, weighted toward infrastructure debt and project finance. No leverage at the fund level. Concentration limits by country, sector, and counterparty; stress testing; the usual machinery, used seriously.

Some things are simply off the table: sanctioned entities, companies controlled by adversary governments, weapons of mass destruction, tobacco, gambling. Others require explicit board approval because they are politically or systemically fraught: media and telecoms, financial institutions, countries without an investment treaty. An ESG screen excludes severe environmental and human-rights offenders and reports annually — stated plainly so it cannot quietly expand into a second, unlegislated mandate.

VII. Impacts and Risks

Will it move markets? Probably not much. Even at $500 billion the fund would be about 1 percent of a $50 trillion US equity market; Norway holds around 1.5 percent of global listed equity without notable distortion. Deploy gradually, diversify, use index-like strategies in liquid markets and bilateral deals in private ones, and the footprint stays small. The research finds SWF investment associated with positive announcement returns and no lasting damage; patient capital can steady a market in a panic rather than shake it.

What does it do to the deficit? In the near term, an appropriation-funded fund adds to the deficit — $50 billion is about 0.14 percent of GDP, the annual contributions a rounding error by Washington's standards. Over decades, if returns beat borrowing costs, the sign flips and the fund becomes self-sustaining. If they do not, it does not. The honest summary is that the fiscal case is positive in expectation and uncertain in any given decade, which is true of most things worth doing with a thirty-year horizon.

Reciprocity and CFIUS. A country that has used CFIUS to keep foreign sovereign money out of sensitive sectors should expect the same treatment when its own fund goes shopping abroad. The mitigations are minority stakes, co-investment with allied funds, transparency, and Santiago compliance — and, frankly, accepting the restrictions reciprocity implies rather than complaining about them. Some doors (Beijing, Moscow) will stay shut regardless; the answer is to invest where US capital is welcome, which is most places.

Political-economy risks. A future administration may try to pack the board; staggered terms, Senate confirmation, qualification requirements, and the independent majority make it slow and conspicuous. Congress may push pet projects; the statutory mandate, fiduciary duties, and a ban on earmarking are the answer. The fund may be leaned on for a number before an election; terms that outlast election cycles and delayed disclosure of individual deals blunt the incentive. And success will, as night follows day, bring proposals to expand the mandate — Alaska has spent decades fending off exactly this. The dual-account structure and the ten-year sunset exist so that any such expansion has to be argued for in the open rather than absorbed by drift.

VIII. Getting It Through Congress

A fund cannot be willed into existence by executive order, the Appropriations Clause being unambiguous: no money leaves the Treasury without an appropriation made by law. The order can commission a plan; only Congress can fund the thing. The constitutional authority to do so is well established — Congress has chartered financial instrumentalities since the First Bank of the United States, through the Federal Reserve and the Reconstruction Finance Corporation to the DFC — provided the statute supplies an "intelligible principle" to guide the managers' discretion, which a properly drafted mandate does.

The enabling act needs six things: an establishment-and-purpose title; a governance title (board, executive, fiduciary duties, conflicts); a funding title (initial and annual appropriations, dedicated revenues, transfer authority, and a bar on diverting the assets); an investment title (the two accounts, parameters, prohibitions, concentration limits); an oversight title (reporting, GAO, inspector general, whistleblower protection); and a sunset title requiring reauthorisation at ten years. Appendix D sketches the bill.

Jurisdiction will be contested — in the Senate, Banking as lead, with Finance, Foreign Relations, and Armed Services all with a claim; Financial Services and Ways and Means in the House — which complicates passage but ensures the thing is examined from every angle. The politics are more favourable than they look: competing with China appeals to hawks in both parties, infrastructure to Democrats, private-sector leverage to Republicans, and long-run returns to anyone claiming to care about the fiscal position. Opposition will come from deficit hawks, free-market sceptics of state investment, and whichever interests dislike a particular line of business. A realistic path runs through the Treasury–Commerce report, hearings, a bipartisan working group, and quite possibly attachment to a larger must-pass vehicle, with the ten-year sunset offered as reassurance to those who fear permanence.

Finally, the fund must be built to complement what already exists rather than to refight old turf wars: the DFC keeps development, Account 1 takes strategic and commercial value, and the two co-invest where it makes sense; Ex-Im keeps export finance; CHIPS keeps its grants while Account 2 supplies complementary equity; and the fund stays well clear of monetary policy and the Federal Reserve.

IX. Lessons From Abroad

Norway is the gold standard and the most quoted and least transferable model. The Government Pension Fund Global, around $1.7 trillion, is funded entirely from petroleum revenue, invested almost entirely abroad, and transparent to the point of publishing every holding. The lessons that travel: separate policy (the Ministry) from execution (the managers); let transparency do the work of building trust; show that ethical exclusions need not cost returns. The lessons that do not: the United States has no oil surplus to save, has domestic obligations Norway does not, and lacks Norway's habit of consensus.

Singapore demonstrates that the dual model works. GIC runs a purely financial global portfolio with high operational independence; Temasek takes strategic and domestic stakes, sits on boards, and discloses more. Both are constitutionally protected from political raids, both pay enough to attract talent, and the President holds a backstop over key appointments and any drawdown of reserves. The relevant lesson for Washington is that government ownership and professional management can coexist — if the statute is built for it.

China is the competitor the strategic account exists to answer. Beyond CIC's $1.35 trillion sit the policy banks, SAFE's investment arms, the Silk Road Fund, and the multilateral banks it leads — an ecosystem that can move from commercial to overtly strategic with a coordination the fragmented

US apparatus cannot match.[14] The lesson is double-edged: China's low transparency invites the host-country resistance a US fund should avoid, but its ability to offer recipient countries an actual alternative is the capability the United States lacks. The goal is to give countries a choice other than Chinese financing — not merely to block it.

The failures all rhyme. Libya's fund served the regime and then collapsed with it. Malaysia's 1MDB began as a development fund and ended as a synonym for fraud, with some $4.5 billion unaccounted for. Venezuela's FONDEN became off-budget spending with no transparency and no records. The common thread is weak governance, a development or strategic label used to excuse non-commercial decisions, opacity, and fiscal desperation. Everything in Section V is, in effect, a response to this paragraph.

Table 3: Governance, Compared

	Norway	Singapore (GIC)	Singapore (Temasek)	China (CIC)	Proposed US
Legal basis	Act of Parliament	Companies Act	Companies Act	State Council	Congressional statute
Board independence	Moderate	High	High	Low	High by design
Political insulation	High	Very high	Very high	Low	High by design
Transparency	Highest	Moderate	Moderate–high	Low	High
Santiago	Yes	Yes	Opted out	Yes	Committed

X. The Objections, Answered

It is worth stating the strongest objections plainly and answering them, since a proposal that only quotes its supporters is not worth much.

"It will be politicised." The most serious objection, and the one the whole design answers: independent board majority, professional investment committee, statutory prohibition on political crite-

[14] Zongyuan Zoe Liu, *Sovereign Funds: How the Communist Party of China Finances Its Global Ambitions* (Harvard University Press, 2023).

ria, fiduciary duty, disclosure, whistleblower protection, supermajority for big decisions. *Residual risk: moderate.* No democracy eliminates it; the aim is to make it hard and visible.

"You're borrowing to invest." True. The phased approach starts small and demonstrates returns before scaling; dedicated revenues reduce reliance on appropriations; the strategy targets returns above borrowing costs; and the sunset forces a fiscal reckoning every decade. *Residual risk: moderate.* Returns are uncertain and the strategic premium is hard to price; Congress should go in with its eyes open.

"It will distort markets." At ~1 percent of US equities, deployed gradually, in minority stakes, with Account 2 requiring majority-private capital and a statutory bar on trading government information — the marginal effect is small. *Residual risk: low.*

"It will suffer mission creep." The dual-account structure, a statutory mandate, board independence, withdrawal rules, and the ten-year sunset all exist to make expansion a decision rather than a drift. *Residual risk: moderate*, because the pressure never stops.

"Other countries will retaliate." Minority stakes, allied co-investment, transparency, Santiago compliance, and an honest acceptance of reciprocity. Some countries will restrict US capital regardless; invest elsewhere. *Residual risk: moderate.*

"It will be looted." Professional management, layered oversight (board, GAO, inspector general, Congress), transparency, conflict rules, and the ordinary federal fraud statutes. No system is fraud-proof, but large-scale theft becomes very hard. *Residual risk: low.*

Table 4: Objection and Response

Objection	Primary mitigation	Secondary	Residual
Politicisation	Board independence	Statutory bans	Moderate
Deficit funding	Phased approach	Dedicated revenues	Moderate
Market distortion	Size limits	Gradual deployment	Low
Mission creep	Dual accounts	Sunset	Moderate
Retaliation	Minority stakes	Allied coordination	Moderate
Corruption	Layered oversight	Transparency	Low

XI. Implementation

Year 1 — authorisation. Treasury and Commerce deliver their report; the administration sends up a bill; committees hold hearings, mark up, and pass it; the President nominates the board and the Senate confirms; an interim and then a permanent chief executive are named; the first $50 billion is appropriated and the lights are turned on.

Years 2–3 — launch. Build the investment team to fifty to seventy-five professionals; stand up offices, systems, and external-manager relationships; adopt the investment policy and asset allocation; make the first, mostly liquid, investments; file the first annual report and begin Santiago self-assessment.

Years 4–5 — scale. Annual appropriations continue, dedicated revenues switch on, the team grows to 100–150, the first direct strategic investments and major infrastructure financings are done, and the first board terms expire on schedule, proving the succession mechanism works. Target AUM $130–150 billion.

Years 6–10 — maturity. Asset transfers and accumulated returns reduce the reliance on appropriations; the full range of asset classes is in use; co-investment partnerships are routine; and at year ten the first reauthorisation forces a genuine review. Target $300–500 billion.

Years 11–30 — steady state. Returns drive growth, appropriations taper, the institution becomes a settled part of the furniture. Target $500 billion to $1 trillion — at which point the main risk is no longer failure but complacency, and the sunset earns its keep all over again.

XII. The AI Question: A Stake Without a Seat

Everything before this section makes the case for a fund on the logic of statecraft. The argument that brought sovereign wealth funds onto the front page in 2026 is different. It is about distribution: if artificial intelligence generates enormous wealth and displaces a great many workers, who owns the result, and how does the public share in it?

The Case

There is a moral version and a prudential one. The moral version, Senator Sanders's, is that modern AI was trained on "the accumulated knowledge, creativity and labor of mankind" — the books, code, art, and journalism of generations — and that the wealth built on a public inheritance should not accrue entirely to a dozen people in California. AI, on this view, is a public resource more valuable than oil, and the rule that has long governed oil funds should apply: when a public resource creates wealth, the public should share in it.[15]

The prudential version, Assemblyman Bores's, makes a narrower claim. For the first time the people building a technology are openly trying to automate human labour. They may not manage it. But if there is a meaningful chance they do, the responsible thing is to prepare before the fact rather than after. His "AI Dividend" is framed as insurance, not punishment — a floor that pays out if and when AI displaces workers, funded by mechanisms that happen to pay off most in exactly that scenario.[16] The polling he cites suggests the politics are not subtle: most Americans expect AI

[15] Bernie Sanders, "The Public Should Own Half of the Big A.I. Companies," *The New York Times* (Guest Essay), 1 June 2026.

[16] Alex Bores, "The AI Dividend: Preparing America for the AI Economy," policy summary, 2026.

to destroy more jobs than it creates and suspect the government has no plan, which by 2026 had pushed AI above the usual hot-button issues in voter surveys.

The AI labs have, revealingly, floated similar ideas — OpenAI a "public wealth fund" giving every citizen a stake in AI growth, Anthropic "national sovereign wealth funds with stakes in AI." When a democratic socialist and the chief executives he denounces converge on the same instrument, the instrument is worth examining, if only to work out who has misunderstood what.

Two Models

The proposals sit at opposite ends of a spectrum from active ownership to passive participation.

Sanders — active ownership. A one-time 50 percent tax, paid in stock rather than cash, on the largest AI companies, with the government then exercising voting shares and taking board seats with the power "to block decisions that hurt our citizens." Proceeds fund direct payments and, eventually, universal health care, education, and housing. This is the maximalist position: a controlling public stake with an explicit say in how the companies are run.

Bores — passive participation. Three lighter instruments: a levy on AI usage (tokens or compute) that scales with adoption; equity in the form of out-of-the-money warrants — the right to buy shares at a strike price the company's valuation must multiply several times over to reach, so the public wins big only if AI succeeds enormously, and existing shareholders are diluted only in that same happy case; and reform of a tax code that currently lets firms write off the capital that replaces the workers it taxes. Pay-outs are triggered by observable conditions — falling labour-force participation, sectoral wage compression, productivity gains without job growth — rather than by anyone's discretion.

Table 5: The Two AI Models

	Sanders (AI SWF Act)	Bores (AI Dividend)
Funding	One-time 50% equity tax, in stock	Usage levy + out-of-the-money warrants + tax reform
Stake	Up to ~50%, controlling	Variable; pays off only in tail success
Governance role	Voting shares, board seats, a veto	Passive; no operational control
Dilution	Immediate and large	Minimal unless the firm wins big
Distribution	Direct payments → universal services	Triggered dividend + transition + oversight
Main risk	Politicisation, takings, capital flight	Raises little if AI underdelivers

Which One Fits This Fund

The Sanders model, for all the force of its framing, is incompatible with the fund proposed here, and it is worth being clear about why. This paper spends Sections V and X arguing that a US fund lives or dies on its insulation from political control, that it should take minority, non-controlling stakes, and that it should follow a set of principles premised on arm's-length, commercial investment. A fund that owns half of the country's AI industry and uses board seats to block decisions is not a sovereign wealth fund in that sense; it is an instrument of industrial control wearing a fund's clothes. It also invites a Fifth Amendment fight over a tax paid in stock, a valuation nightmare, and the entirely rational response from frontier firms of incorporating somewhere else.

The Bores model, by contrast, fits the architecture almost exactly. A warrant-based stake needs no board seat, dilutes no one unless the bet pays off spectacularly, and matches the long-horizon, minority posture the fund already adopts. A usage levy is an ordinary excise, not an expropriation. And a rules-based, triggered dividend is the same preference for rules over discretion that runs through the rest of this paper.

So the recommendation is a **ring-fenced AI sleeve** inside the Domestic Development Account, under the same board and the same fiduciary standard, with five rules:

- **Acquire, don't confiscate.** Build the stake through warrants negotiated as a condition of the federal compute, procurement, data, and research the labs already want; a modest usage levy; and ordinary market purchases. If Congress separately enacts a Sanders-style equity tax, those shares can be held in custody by the fund — but it should not be the fund's job to vote them as a weapon.
- **Non-controlling by statute.** Cap voting rights well below control and default to pass-through or independent-fiduciary voting. The minority-stake discipline of Section VI is not suspended because the asset is fashionable.
- **Ring-fence the accounting.** Track the sleeve separately so its concentrated, high-variance exposure neither distorts the fund's overall risk nor obscures the link between gains and any dividend.
- **A triggered citizens' dividend.** Direct realised proceeds to a dividend that activates on defined labour-market conditions — Alaska's model, conditioned on AI displacement — plus workforce transition and independent AI-safety oversight. These are Bores's three uses, and they are sensible ones.
- **Guard the regulator.** Forbid the sleeve from favouring particular firms or substituting for regulation. A government that both owns and polices the AI companies has a conflict it must manage out loud, not discover later.

Why Now, and Why Not Too Much

The timing argument is the strongest part of the case. The leverage to obtain public warrants is greatest now, while the labs still need things from the government and are still raising money; it shrinks to nothing once the value is captured and the incumbents are entrenched. Warrants are far cheaper to negotiate as a condition of support than to extract afterwards.

The argument for restraint is just as strong. The fund's whole point is diversification across decades; loading it with a handful of correlated, richly valued AI names imports exactly the idiosyncratic risk and political temperature Section X warns against. If AI underdelivers, a warrant-funded dividend raises little. And the regulator-owner conflict is real. The recommendation here — non-controlling, warrant-weighted, ring-fenced, rules-based — is deliberately at the modest end of the spectrum. It captures the upside and the political appeal of the Sanders and Bores proposals while keeping the fund a fund.

Put simply: the AI moment is a good reason to build the fund and a bad reason to let it buy the steering wheel. Done with discipline, it offers Americans a genuine claim on the technology built from their collective knowledge — an insurance policy and a share of the upside — without the independence that makes the whole thing credible being the price.

XIII. Conclusion

The strategic case is straightforward and, by now, widely accepted: the United States is competing economically with states that bring sovereign capital to the contest, and it shows up without any. A well-designed fund could secure supply chains, strengthen alliances through co-investment, finance the infrastructure private markets underbuild, and earn a long-run return for the public. The AI moment adds a second argument and a new constituency.

The design case is the one that decides everything. A badly built fund is worse than none — a standing invitation to patronage, distortion, and loss, with the international record to prove it. The architecture proposed here is an attempt to make the well-built version the path of least resistance: independent governance that the political weather cannot easily move; two accounts that keep the mandates honest; funding that starts small and earns the right to grow; transparency that buys trust; Santiago compliance that disarms the critics; and an AI sleeve that takes the public's stake without taking control.

Congress should hold the hearings, build the bipartisan core, write a statute with real protections, appropriate enough to prove the concept, appoint people who know what they are doing, and put genuine oversight in place. The window will not stay open indefinitely, and rushing produces the bad version. The country is plainly capable of building a world-class sovereign investment vehicle. Whether it can resist using it for everything else is the open question, and not a technical one.

Appendices

Appendix A: Santiago Principles — Compliance Summary

The Santiago Principles (formally the Generally Accepted Principles and Practices, GAPP) are twenty-four voluntary standards drawn up in 2008 by the International Working Group of Sovereign Wealth Funds. They fall into three groups, and the design in this paper is built to satisfy all of them.

- **Legal framework and objectives (GAPP 1–4):** a sound legal basis, publicly disclosed; a clearly stated policy purpose; coordination with fiscal and monetary authorities; published rules on funding, withdrawal, and spending. *Met by the congressional charter, the stated dual mandate, Treasury coordination, and statutory fiscal rules.*
- **Institutional framework and governance (GAPP 5–17):** a clear division between owner, board, and management; a board acting in the fund's interest with adequate authority; operationally independent management; audited annual reporting; published ethical standards; commercial dealing with third parties; and public disclosure of governance and financial information. *Met by the nine-member board, the independent-director majority, professional management, GAO and inspector-general oversight, and the disclosure regime of Section V.*
- **Investment and risk management (GAPP 18–24):** a clear investment policy consistent with objectives; decisions aimed at risk-adjusted returns; any non-financial considerations disclosed; no use of privileged government information; a defined approach to ownership rights; an enterprise risk framework; and regular review of GAPP implementation. *Met by the published investment policy for each account, the documented strategic-value framework for Account 1, the statutory information barrier, published proxy guidelines, and an annual self-assessment with IFSWF peer review.*

A fund built to these recommendations should reach full compliance from its first day of operations — which, given the scrutiny it will face, is less a nicety than a precondition for being taken seriously.

Appendix B: Governance Benchmarks

The design borrows deliberately from the funds that score highest on the two standard scorecards — the Carnegie Santiago Compliance Index and the Truman Scoreboard (Peterson Institute). Both reward the same things: democratic oversight, disclosure, and professional independence.

Where the leaders sit. On the Truman Scoreboard, Norway (~98), New Zealand (~94), Timor-Leste (~90), Australia (~88), Chile (~86), and Alaska (~82) lead; Singapore's GIC and Temasek sit in the mid-60s; the Gulf funds (ADIA, KIA, QIA) typically score 35–55, with transparency and governance their weak points. The pattern is not subtle — full democracies with strong parliamentary oversight cluster at the top.

What each teaches the US fund. From Norway: publish the holdings and separate policy from execution. From Singapore: the dual-fund model works, and constitutional protection plus competitive pay makes independence real. From Australia and New Zealand: an independent statutory authority with a majority-independent board and a mandate fixed in legislation. From Alaska: protect the principal in the constitution and give citizens a dividend they will defend. From Kuwait, Libya, and 1MDB: opacity and weak oversight are how funds die.

Where the proposal aims. A Truman score of 90-plus, achieved the way democracies achieve it — through transparency and governance rather than scale — on the reasoning that a US fund judged to have anything less than top-tier governance would forfeit the credibility it depends on.

Element	Proposed US fund	Modelled on
Legal foundation	Congressional statute	Norway, Australia
Board independence	4 of 9 independent (investment majority)	New Zealand, Australia
Professional qualifications	Required for independents	Singapore GIC
Terms	7 years, staggered	Norway, New Zealand
Disclosure	High, with appropriate lags	Norway
Oversight	GAO + IG + independent audit	Australia
Santiago	Full compliance from inception	New Zealand

Appendix C: Where the Money Could Come From

The $5.7 trillion in "federal financial assets" cited with the executive order is real but mostly unavailable: student loans, mortgage guarantees, and pension obligations make up the bulk, and none of it is a liquid war chest. Stripped of the headline, the realistically mobilisable sources over a decade look like this:

Source	10-year potential ($B)	Certainty	Difficulty
Congressional appropriations	100–150	High	Moderate
Mineral royalty dedication	30–50	High	Low
Spectrum auction dedication	30–50	Moderate	Low
Real-property transfers	20–40	Moderate	High
SPR partial transfer	15–20	Moderate	Moderate
Other dispositions	10–30	Low	High
Total	**205–340**		

Plus returns on capital already deployed.

The sensible sequence is the one in Section IV: lead with appropriations and dedicated revenues, which are reliable and politically digestible, and approach asset transfers slowly and selectively — favouring genuinely underused property and infrastructure partnerships, and leaving strategic assets like the Petroleum Reserve largely where they are. Transfers require their own authorising legislation, environmental and historic-preservation review, and in some cases tribal consultation, none of which moves quickly.

Sources: Treasury, Financial Report of the United States Government; GAO real-property reports; Interior natural-resource revenue data; FCC auction results; CBO.

Appendix D: Draft Enabling Legislation — Outline

A model "United States Strategic Investment Fund Act," drawing on the BUILD Act (2018), the Federal Reserve Act, and Australia's Future Fund Act. The structure, by title:

- **Title I — Establishment and Purpose.** Creates the Fund as an independent, federally chartered corporation with perpetual succession and the usual corporate powers; states the dual purpose (strategic security investment; domestic development; long-run returns); and clarifies that the Fund is neither a federal agency nor a government corporation under 5 U.S.C. §103.
- **Title II — Governance.** The nine-member board (three ex-officio, two congressional, four independent), with the qualifications, seven-year staggered terms, removal-for-cause, and supermajority rules set out in Section V; CEO selected by the independent directors; an investment committee under the CIO; private-sector pay outside Title 5; and binding conflict-of-interest provisions.
- **Title III — Investment Authorities.** The two accounts and their ~60/40 split; permitted instruments; the international tilt, minority-stake rule, and 1 percent cap for Account 1; the 50 percent private co-investment and Davis-Bacon requirements for Account 2; the prohibited list; and a published investment policy statement.
- **Title IV — Funding.** Authorises the $50 billion initial capitalisation and annual contributions up to $15 billion; dedicates a share of mineral royalties and spectrum proceeds; permits asset transfers subject to separate authorisation and 60-day notice; requires earnings to be reinvested; and restricts withdrawals.
- **Title V — Oversight and Accountability.** Annual report within 90 days; GAO audit authority; an inspector general; 30-day notice of major investments and policy changes; whistleblower protection.
- **Title VI — Transparency.** Public disclosure of policy, quarterly allocation, individual investments on a ≤12-month lag, and proxy voting; annual Santiago self-assessment and IFSWF membership.
- **Title VII — Tax and Immunity.** Tax exemption; sovereign immunity with a contractual waiver.

- **Title VIII — Relationship to Other Law.** Preserves CFIUS; requires compliance with applicable securities law; exempts the Fund from the Bank Holding Company Act.
- **Title IX — Miscellaneous.** Ten-year sunset with a Comptroller General review two years out and orderly wind-down if not reauthorised; explicit anti-politicisation provisions; severability; effective 90 days after enactment.

An outline only; real drafting is a job for legislative counsel and the negotiation that follows.

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Legal references. BUILD Act, Pub. L. 115–254 (2018); Federal Reserve Act, 12 U.S.C. §221 et seq.; Future Fund Act 2006 (Australia); NZ Superannuation and Retirement Income Act 2001; Davis-Bacon Act, 40 U.S.C. §3141 et seq.

About the Author

Laurence Wilse-Samson works on public finance, institutional economics, and international economic policy. Corrections and arguments are welcome; please open an issue on the project repository.

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